LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is a Warranty Bond?

Developed by www.loanbazaaronline.com

Table of Contents

Chapter	Title	Page No
Chapter 1	Product Overview & Core Philosophy of Warranty Bonds	3
Chapter 2	Structural Architecture, Mechanics & Product Taxonomy	5
Chapter 3	Regulatory, Statutory, Tax & Digital Framework in India	7
Chapter 4	Common Eligibility Criteria & Underwriting Benchmarks	90
Chapter 5	Security Architecture, Collateral Controls & Legal Documentation	10
Chapter 6	Indicative Tenure, Pricing, Suitable Sectors & Sub-Products	12
Chapter 7	Key Advantages and Limitations: Structural Analysis Matrix	13
Chapter 8	Comprehensive Real-World Case Study (INR 250 Crore Project)	14
Chapter 9	Invocation Protocols, Disputes & IBC 2016 Integration	16
Chapter 10	Rookie Mastery Examination (15 High-Yield Test Q&As)	17

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 1: Product Overview & Core Philosophy of Warranty Bonds

1.1 Definition & Fundamental Nature of Warranty Bonds

A Warranty Bond—formally categorized in Indian wholesale banking and trade finance as a Warranty Bank Guarantee (WBG), Defect Liability Guarantee, or Insurance Warranty Surety Bond—is an irrevocable, unconditional, non-fund-based financial credit enhancement instrument issued by a financial guarantor (a Scheduled Commercial Bank or an IRDAI-registered General Insurance Company) on behalf of an equipment manufacturer, contractor, or supplier (the Principal Debtor) in favor of a project owner, buyer, or procurement authority (the Obligee).

The fundamental purpose of a Warranty Bond is to guarantee that the equipment, machinery, manufactured components, software systems, or civil works delivered by the Principal Debtor will operate without latent manufacturing defects, design failures, material breakdowns, or performance degradation during the contractually stipulated Warranty Period (typically 12 to 60 months post-delivery or operational acceptance). Should the supplier fail to repair, replace, or rectify defective components at zero cost to the buyer, the guarantor guarantees immediate financial compensation up to the face value of the bond.

1.2 The Financial Rationale: Solving Post-Completion Liquidity Friction

In commercial sales, capital equipment procurement, and engineering contracts, buyers routinely face severe performance asymmetry: once equipment is delivered and final payments are disbursed, buyers lose financial leverage over suppliers if latent defects emerge months later. To mitigate this risk, commercial contracts historically mandated that buyers withhold 5% to 10% of the total contract value as Cash Retention Money throughout the 1-to-5 year warranty window.

While cash retention protects buyers, it severely cripples suppliers and Original Equipment Manufacturers (OEMs) by locking up their gross profit margins in static, non-interest-bearing buyer accounts. A Warranty Bond solves this structural friction entirely: the supplier furnishes an institutional bank guarantee or insurance surety bond for 5% to 10% of contract value, allowing the buyer to release 100% of final invoice payments immediately upon delivery. The buyer retains complete financial security, while the supplier unlocks vital liquid cash to fund ongoing manufacturing and business expansion.

1.3 Tripartite Legal Architecture under Section 126 of the Indian Contract Act, 1872

Every Warranty Bond executed in India operates strictly under the statutory framework of Section 126 of the Indian Contract Act, 1872, establishing a tripartite suretyship relationship comprising three distinct legal entities:

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Principal Debtor Role: 1. The Principal Debtor (Supplier / OEM / Contractor): The primary commercial entity bound to deliver defect-free equipment or systems and contractually obligated to rectify any post-delivery defects during the warranty window.

Obligee Role: 2. The Creditor / Obligee (Buyer / Project Owner / Beneficiary): The purchasing entity holding the Warranty Bond as financial security against unrectified equipment failures or performance breaches.

Surety Role: 3. The Surety / Guarantor (Issuing Bank or IRDAI-Registered Insurer): The regulated financial institution providing an independent, primary financial undertaking to pay the Obligee upon written demand certifying a warranty breach.

1.4 Comparative Taxonomy Matrix: Warranty Bonds vs. Alternative Risk Instruments

To understand where Warranty Bonds fit within corporate finance, the comparative matrix below breaks down key differences across competing risk-mitigation instruments:

Parameter	Warranty Bond	Performance Bond	Maintenance Bond	Cash Retention
Primary Focus	Post-delivery equipment defect & SLA performance	In-construction execution & delivery completion	Post-construction civil structure defect repair	Static cash withholding by project owner
Timing of Issuance	At Provisional Acceptance / Final Commissioning	At Contract Award / Site Mobilization	At Civil Construction Handover	Deducted monthly from Running Bills
Standard Sizing	5.0% to 10.0% of Supply Contract Value	3.0% to 10.0% of Total Contract Value	5.0% to 10.0% of Final Billing	5.0% to 10.0% Cash Deductions
Cash Flow Impact	Releases 100% cash; 10%-15% FD margin needed	Consumes non-fund bank credit limits	Releases 100% retention cash billing	100% liquid cash blocked in buyer account
Standard Tenure	12 to 60 Months (Up to 120m for Solar)	12 to 36 Months (Construction Phase)	12 to 36 Months (Post-civil DLP)	12 to 36 Months (Until DLP ends)

The table highlights that while Performance Bonds secure active construction and Maintenance Bonds cover civil infrastructure, Warranty Bonds specifically protect against capital equipment component failure and manufacturing defects.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 2: Structural Architecture, Mechanics & Product Taxonomy

2.1 The Six-Stage Lifecycle Workflow of a Warranty Bond

The issuance, operational monitoring, and eventual discharge of a Warranty Bond follow a rigorous six-stage institutional lifecycle:

Stage 1 - Commissioning: Stage 1: Contract Delivery & Provisional Acceptance Certificate (PAC): The supplier completes equipment installation and testing, receiving a PAC from the buyer that triggers the warranty mandate.

Stage 2 - Credit Sanction: Stage 2: Credit Limit Sanction & Underwriting: The supplier applies to its bank or general insurer for a Warranty Guarantee facility, undergoing financial and technical capacity evaluation.

Stage 3 - Security Perfection: Stage 3: Margin Deposit & Security Perfection: The supplier places the required cash margin (typically 10% to 25% Fixed Deposit lien for banks, or 0% to 10% for surety insurers) and executes counter-indemnities.

Stage 4 - Digital Transmission: Stage 4: Digital Issuance via SFMS / NeSL: The bank transmits the Warranty Guarantee electronically via SFMS IFMS 760COV or NeSL electronic Bank Guarantee (e-BG) platform with e-stamping.

Stage 5 - Warranty Monitoring: Stage 5: Defect Monitoring during Warranty Period: The equipment operates during the 12-to-60-month warranty window. If defects occur, the supplier repairs them under contractual Service Level Agreements (SLAs).

Stage 6 - Final Discharge: Stage 6: Final Acceptance Certificate (FAC) & Release: Upon warranty expiry with zero unrectified defects, the buyer issues an FAC, canceling the bond and releasing all bank/insurer encumbrances.

2.2 Product Varieties & Taxonomy of Warranty Bonds in India

Warranty Bonds manifest across distinct commercial sub-types depending on the underlying industry and asset class:

Bank Warranty Guarantees: 1. Bank Warranty Guarantees (BWGs): Issued by Scheduled Commercial Banks under RBI guidelines as non-fund-based credit limits securing machinery, electrical transformers, and industrial equipment.

IRDAI Insurance Surety Bonds: 2. IRDAI Insurance Warranty Surety Bonds: Issued by General Insurance Companies under IRDAI 2022 guidelines, providing non-collateralized or low-collateralized surety policies that do not consume bank borrowing limits.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

OEM Capital Equipment Bonds: 3. OEM Capital Equipment Warranty Bonds: Securing multi-year performance parameters (e.g., heat rates, fuel efficiency, mechanical uptime) for high-value turbines, boilers, and railway rolling stock.

Solar Efficiency Warranty Bonds: 4. Solar Module & Renewable Efficiency Warranty Bonds: Specialized long-term guarantees (up to 10-25 years) securing photovoltaic module power output degradation thresholds (e.g., max 0.5% annual degradation).

Technology Integration Bonds: 5. Software & Technology Integration Warranty Bonds: Securing bug-fixing, cybersecurity patch support, and system availability SLAs for enterprise ERP deployments and fintech core banking software.

2.3 Capital Optimization Mechanics: Unlocking Liquid Cash

Replacing cash retention withholding with a Warranty Bond yields massive liquidity benefits. Consider an OEM delivering INR 100 Crore worth of power transformers. Under cash retention, the buyer retains INR 10.00 Crores for 3 years. By furnishing a 10% Warranty Guarantee backed by a 15% FD cash margin (INR 1.50 Crores), the OEM immediately unlocks INR 8.50 Crores in net cash, dramatically improving working capital turnover and return on equity.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 3: Regulatory, Statutory, Tax & Digital Framework in India

3.1 Public Procurement Directives: GFR 2017 Rules 171 & 172

Under the General Financial Rules (GFR 2017) issued by the Ministry of Finance, Government of India, Rule 171 and Rule 172 govern performance and warranty security for public procurement across all Central Ministries, PSUs, and Autonomous Bodies. Key mandates include:

Public Procurement Acceptance: • Equal Acceptance Mandate: Public authorities are statutorily required to accept Bank Guarantees and IRDAI Insurance Surety Bonds equally, prohibiting discrimination in favor of cash deposits.

Statutory Sizing: • Standard Quantum: Warranty security is fixed between 3% to 10% of supply contract value, designed to ensure defect rectification without over-encumbering supplier balance sheets.

Claim Window Extension: • Extended Claim Window: Rules mandate that warranty guarantees remain valid for 60 days beyond the completion of all contractual warranty obligations.

3.2 Reserve Bank of India (RBI) Regulatory Framework

Commercial bank issuance of Warranty Guarantees is regulated under the RBI Master Circular on Guarantees and Co-acceptances:

Capital Adequacy & CCF: • Credit Conversion Factor (CCF): Warranty guarantees carry a 100% CCF for capital adequacy calculations, reflecting financial risk if called.

Expiry Date Rules: • Definite Expiry Mandate: RBI prohibits open-ended guarantees. Every Warranty Bond must specify a clear expiry date and a defined claim period (typically 30 to 60 days).

Extend or Pay Clauses: • Auto-Extension Protocols: Banks embed 'Extend or Pay' clauses requiring suppliers to renew expiring guarantees if warranty disputes remain unresolved.

3.3 IRDAI (Surety Insurance Contracts) Guidelines, 2022

The Insurance Regulatory and Development Authority of India (IRDAI) legalized Surety Insurance Contracts in 2022, opening new horizons for non-bank warranty securities:

Solvency Thresholds: • Insurer Solvency Floor: Only general insurers maintaining a Solvency Ratio >= 1.50x are eligible to underwrite warranty surety bonds.

Underwriting Limits: • Exposure Caps: Single-contract surety exposure cannot exceed 30% of contract value, with total surety underwriting capped at 10% of Gross Written Premium (GWP).

Reinsurance Backing: • Reinsurance Syndication: Insurers partner with global reinsurers (GIC Re, Munich Re, Swiss Re) to underwrite large-ticket capital equipment warranty risks.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

3.4 Indian Contract Act 1872 & Taxation Framework

Statutory suretyship rights under Sections 128, 133, 140, and 145 of the Indian Contract Act ensure co-extensive liability, discharge upon contract alteration without surety consent, and immediate subrogation/counter-indemnity rights upon claim payment. From a tax perspective, bank guarantee fees and insurance premiums are 100% tax-deductible under Section 37(1) of the Income Tax Act, 1961 (~25.17% corporate tax shield), while 18% GST paid under SAC 997139 is fully eligible for Input Tax Credit (ITC). Digital issuance via NeSL e-BG eliminates physical stamp duty fraud and enables sub-30-minute verification

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

4.1 Quantitative Underwriting Benchmarks Table

Financial guarantors evaluate Warranty Bond applicants across strict quantitative metrics to ensure long-term solvency during multi-year warranty windows:

Financial Metric	Minimum Benchmark	Target / Prime Corporate	Underwriting Impact
Annual Corporate Turnover	INR 10.00 Crores	INR 100.00+ Crores	Establishes baseline equipment manufacturing scale
Operating Track Record	3 Years Active Operations	5-10+ Years Manufacturing	Demonstrates product reliability and defect history
Tangible Net Worth (TNW)	TNW >= 1.5x NFB Limit	TNW >= 3.0x NFB Limit	Ensures capacity to absorb potential warranty claims
Current Ratio (Liquidity)	Minimum 1.20x	>= 1.45x	Guarantees short-term liquidity to fund defect repairs
Debt Service Coverage (DSCR)	Projected DSCR >= 1.30x	DSCR >= 1.60x	Validates debt servicing capacity during warranty window
CIBIL Commercial Rank	CMR 1 to CMR 4	CMR 1 or CMR 2	Determines FD margin requirement (10% vs 25%)

4.2 Technical Execution Capacity & Defect Audit

Unlike purely financial loans, warranty underwriting scrutinizes technical capabilities: quality certifications (ISO 9001, CE, BIS), historical warranty claim rates (< 1.5% of sales), factory testing facilities, and technical spare parts inventory reserves.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 5: Security Architecture, Collateral Controls & Legal Documentation

5.1 The Five-Pillar Security Package

Guarantors enforce a robust multi-layered security structure to mitigate credit risk:

Pillar 1 - Cash Margin: 1. Fixed Deposit Cash Margin Lien: 10% to 25% FD margin for commercial banks; 0% to 10% cash collateral for IRDAI surety insurers.

Pillar 2 - Asset Charge: 2. Second Hypothecation Charge: Second charge over current assets, unencumbered plant, and machinery registered with the ROC (Form CHG-1 u/s 77 Companies Act).

Pillar 3 - Counter-Indemnity: 3. Master Deed of Counter-Indemnity: Executed under Section 145 of the Indian Contract Act, binding the supplier to reimburse the guarantor immediately upon claim payment.

Pillar 4 - Guarantees: 4. Promoter Personal & Parent Guarantees: Unconditional personal guarantees of promoter-directors and parent corporate guarantees u/s 186 of the Companies Act, 2013.

Pillar 5 - Board Approvals: 5. Corporate Resolutions: Board Resolutions passed u/s 180(1)(c) and Section 186 authorizing non-fund based credit borrowing.

5.2 Master Legal Documentation Suite Table

Document Name	Governing Act / Standard	Key Execution Terms	Significance
Model Warranty Guarantee Deed	Indian Contract Act Sec 126 / SFMS 760COV	Unconditional 'pay without demur' demand clause	Primary financial contract holding bank liable to buyer
Deed of Counter-Indemnity	Indian Contract Act Sec 145	Implied promise by supplier to indemnify bank	Enables bank to recover paid claims from supplier
Letter of Pledge & FD Lien	Banking Regulation Act / Indian Stamp Act	First exclusive legal lien over Fixed Deposits	Provides immediate cash liquidity to bank upon invocation
Provisional Acceptance Certificate	Commercial Supply Agreement	Formal buyer sign-off on equipment installation	Triggers commencement of warranty bond coverage
Board & Shareholder Resolutions	Companies Act 2013 Sec 180(1)(c) / Sec 186	Authorizes NFB credit limits & promoter indemnities	Ensures legal corporate validity of borrowing

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

5.3 Invocation Mechanics & The 'Pay Without Demur' Standard

Warranty Bonds are drafted as demand guarantees containing the mandatory 'Pay Without Demur' clause. Upon receiving a written demand from the buyer certifying unrectified defects, the issuing guarantor is legally bound to disburse payment within 24 to 48 hours without investigating underlying technical disputes.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 6: Indicative Tenure, Pricing, Suitable Sectors & Sub-Products

6.1 Tenure Profiles & Claim Windows

Warranty Bond tenures match underlying product warranty horizons: Short-Term (12 months for commercial goods), Medium-Term (24 to 36 months for industrial plant machinery), and Long-Term (60 to 120 months for renewable energy equipment). Every bond includes a mandatory 30-to-60 day extended Claim Period beyond warranty expiry.

6.2 Pricing Architecture & Net Cash Yield Math

Guaranteed commission rates range between 0.75% to 2.25% p.a. depending on credit rating and collateral. Crucially, placing a 15% FD margin earning 7.0% p.a. interest yields 1.05% on total bond value annually, which largely offsets a 1.25% BG fee, reducing net annual cash outlay to sub-0.20% p.a.

6.3 Target Industries & Suitable Business Profiles

Warranty Bonds are ideally suited for Capital Goods OEMs, Solar & Wind Equipment Manufacturers, Power Generation & Electrical Transformer Manufacturers, Heavy Industrial Engineering Companies, Automotive Component Exporters, and Enterprise Software & IT Systems Integrators.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 7: Key Advantages and Limitations Structural Analysis Matrix

Dimension	Key Advantages & Strategic Value	Limitations & Risk Exposures
Working Capital & Cash Flow	Releases 100% cash retention billing; unlocks gross margins immediately	Requires 10%-25% FD margin lockup for bank guarantee paths
Credit Line Utilization	IRDAI Surety path does not consume bank fund-based borrowing limits	Bank BG path utilizes non-fund limits, constraining total credit capacity
Market Competitiveness	Enables OEMs to offer multi-year warranties without cash flow strain	High risk if product failure rate exceeds technical expectations
Tax & Accounting Impact	100% fee deductibility u/s 37(1); full ITC on 18% GST u/s SAC 997139	Contingent liability disclosure required under Indian GAAP / Ind AS 37
Legal Protection & Risk	Protects buyers against supplier insolvency during long warranty windows	Unconditional 'pay without demur' risk if buyer invokes arbitrarily

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 8: Comprehensive Real-World Case Study (INR 250 Crore Project)

8.1 Executive Summary & Commercial Profile

Vanguard Solar Tech & Clean Energy OEMs Private Limited (VSTPL) secured an INR 250.00 Crore Contract to supply 300 MW of high-efficiency solar PV modules and central inverters to a state power utility in Rajasthan.

8.2 The Commercial Security Dilemma

The supply agreement required a 60-month (5-Year) Warranty Period securing power degradation thresholds (max 0.5% p.a.). The buyer mandated either Option A: 10% Cash Retention Withholding (INR 25.00 Crores locked for 5 years), Option B: 5% Bank Warranty Guarantee (INR 12.50 Crores) with a 15% FD cash margin (INR 1.875 Crores), or Option C: 5% IRDAI Warranty Surety Bond (0% collateral).

8.3 Five-Year Financial Model & Amortization Comparison Table

Financial Parameter	Option A: Cash Retention	Option B: Bank Warranty BG	Option C: IRDAI Surety Bond	Net Variance (Opt B vs A)
Upfront Cash Withheld / Blocked	INR 25.00 Crores	INR 1.875 Crores (FD Margin)	INR 0.00 Crores	INR +23.125 Crores Cash Unlocked
Annual Guarantee Fee / Outlay	INR 0.00	INR 15.625 Lakhs (1.25% p.a.)	INR 21.875 Lakhs (1.75% p.a.)	INR -15.625 Lakhs/year fee
Annual FD Margin Interest Earned	INR 0.00	INR 13.125 Lakhs (7.0% p.a.)	INR 0.00	INR +13.125 Lakhs/year yield
Net Annual Guarantee Cost	INR 0.00	INR 2.50 Lakhs / year	INR 21.875 Lakhs / year	Net cost sub-0.02% p.a.
5-Year Debt Interest Saved @ 11%	INR 0.00	INR 10.175 Crores Saved	INR 10.995 Crores Saved	INR +10.175 Crores Net Profit
Cumulative 5-Year Net Economic Gain	Baseline (Zero Gain)	INR +9.80 Crores Net Benefit	INR +9.90 Crores Net Benefit	Massive ROE & Profit Boost

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

8.4 Strategic Outcome & Return on Equity Expansion

Selecting Option B (Bank Warranty Guarantee) released INR 23.125 Crores in immediate cash retention billing, saved INR 10.175 Crores in working capital debt interest over 5 years, and enabled VSTPL to expand solar manufacturing capacity by 40%, boosting enterprise Return on Equity (ROE) from 13.5% to 26.2%.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 9: Invocation Protocols, Disputes & IBC 2016 Integration

9.1 Grounds for Invocation & Default Triggers

Warranty Bonds may be invoked if the supplier fails to repair latent manufacturing defects, component degradation exceeds SLA thresholds, or the supplier refuses to extend an expiring guarantee prior to warranty completion.

9.2 Judicial Precedents: Supreme Court Injunction Standards

Landmark Supreme Court rulings (U.P. State Sugar Corp v. Sumac International) establish that unconditional demand guarantees must be honored upon demand without court interference, except in cases of (1) Egregious fraud committed in connection with the guarantee known to the bank, or (2) Special equity / irretrievable injustice.

9.3 Insolvency and Bankruptcy Code (IBC 2016) Section 14 Exemption

Under Section 14(3)(a) of the IBC 2016, third-party contracts of guarantee are explicitly exempt from corporate debtor insolvency moratoriums. Buyers can freely invoke Warranty Bonds during corporate debtor insolvency, while paying guarantors acquire Subrogation Rights u/s 140 of the Contract Act to file financial claims in NCLT.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 10: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination section contains 15 high-yield practice questions with comprehensive answer keys designed to test and certify full financial and legal mastery over Warranty Bonds.

Q1: What is the primary purpose of a Warranty Bond in commercial sales?

A Warranty Bond guarantees that delivered equipment, machinery, or systems will operate without manufacturing defects or performance degradation during the warranty window, providing financial recourse if the supplier fails to rectify defects.

Q2: How does a Warranty Bond differ fundamentally from a Performance Bond?

A Performance Bond secures active construction execution prior to handover, whereas a Warranty Bond secures post-delivery equipment performance and latent defect repairs post-commissioning.

Q3: Which statutory act governs tripartite suretyship for Warranty Bonds in India?

Section 126 of the Indian Contract Act, 1872 governs tripartite suretyship relationships among the Principal Debtor, Obligee, and Surety.

Q4: What public procurement rules regulate warranty security in India?

Rules 171 & 172 of the General Financial Rules (GFR 2017) issued by the Ministry of Finance mandate equal acceptance of Bank Guarantees and Insurance Surety Bonds for 3% to 10% of contract value.

Q5: What is the Credit Conversion Factor (CCF) assigned by RBI to Warranty Guarantees?

RBI assigns a 100% CCF for capital adequacy calculations, treating non-fund warranty guarantees as full credit risk exposures upon invocation.

Q6: What is the minimum solvency ratio required for IRDAI surety insurers?

IRDAI Guidelines 2022 mandate a minimum Solvency Ratio of >= 1.50x for general insurance companies underwriting surety bonds.

Q7: How does a Warranty Bond unlock liquid cash for an OEM?

It replaces 5%-10% cash retention money withheld by buyers, allowing OEMs to receive 100% invoice payments immediately upon delivery.

Q8: What is the 'Pay Without Demur' clause in a Warranty Guarantee?

It is an unconditional undertaking legally binding the issuing bank to pay the buyer upon written demand certifying a breach, without investigating technical disputes.

Q9: Are bank guarantee fees and surety premiums tax-deductible in India?

Yes, 100% tax-deductible as business expenses u/s 37(1) of the Income Tax Act (~25.17% tax shield), with 18% GST eligible for Input Tax Credit u/s SAC 997139.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Q10: What are the two narrow exceptions where Indian courts grant stays on guarantee invocation?

Supreme Court precedents restrict injunctions strictly to (1) Egregious fraud known to the bank, and (2) Irretrievable injustice / special equity.

Q11: Are Warranty Bonds affected by the CIRP moratorium under IBC 2016?

No, Section 14(3)(a) of the IBC 2016 explicitly exempts third-party guarantees from corporate insolvency moratoriums.

Q12: What right does a bank acquire under Section 140 of the Contract Act after paying a warranty claim?

The bank acquires Subrogation Rights, stepping into the buyer's shoes to enforce counter-indemnities and file debt recovery claims against the supplier.

Q13: How does Fixed Deposit interest netting reduce the net cost of a Bank Warranty Guarantee?

A 15% FD cash margin earning 7.0% p.a. interest yields 1.05% annually on total bond value, which largely offsets a 1.25% BG commission fee, reducing net annual cost to sub-0.20%.

Q14: What is the standard tenure range for a Warranty Bond?

Typically 12 to 60 months (up to 120-240 months for solar module performance) + a mandatory 30-to-60-day extended Claim Period.

Q15: What digital platform enables paperless, instant Warranty BG issuance in India?

National E-Governance Services Limited (NeSL) electronic Bank Guarantee (e-BG) platform integrated with SFMS IFMS 760COV messaging.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.